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FX Forecast Update

Still negative on SEK and NOK

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FX market overview

Recent developments: receding trade and geopolitical risks, focus back on data

- Since our last FX Forecast Update on 22 July, global risk appetite has remained constructive, with global equities continuing to perform, supported by solid economic data, positive earnings surprises, and fading trade and geopolitical risks. Despite the headlines, markets have shifted back to trading on fundamentals. Credit spreads remain tight, while front-end US rates have moved lower as markets increasingly price a resumption of Fed cuts. This in turn has kept the broad USD under pressure so far in August, with GBP, SEK, and EUR standing out as the top G10 performers, although movements have been relatively contained.

FX implications: softer USD in August, Scandies relatively stable

- After a strong July for the broad USD, the tide has turned in August amid mounting evidence of a slowing US economy. Beyond the late-July dip in EUR/USD following a hawkish FOMC, the cross has traded rangebound between 1.16 and 1.18, with attention firmly back on US data. The Scandies have been relatively stable against the EUR over the past month, though NOK has edged modestly lower in line with weaker oil prices and tighter rate spreads versus peers. Meanwhile, EUR/GBP has drifted lower in August following the BoE's hawkish 25bp cut. CHF, by contrast, has underperformed on the back of the 39% US tariff on Switzerland, with EUR/CHF climbing above 0.94.

Outlook: bullish EUR/USD, bearish Scandies

- We continue to see EUR/USD on an upward trajectory, targeting 1.23 on a 12M horizon, underpinned by relative rates, a recovering European asset market, and the reduced global need for contractionary policy. In addition, the gradual adjustment of hedge ratios on USD assets and diminished confidence in US institutions should remain structural tailwinds for the cross. For SEK, we do not expect relative monetary policy to provide sustained support; instead, the low growth–high inflation mix is likely to remain a headwind through H2 2025. For EUR/NOK, we maintain an upward sloping forecast profile. We stress that longer-term drivers such as relative real rates, the relative attractiveness of asset markets, and global monetary conditions still pointing to a higher EUR/NOK over time.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD - even if the Fed refrains from cutting rates (or delivers hikes) – as the US investment case in such scenario would suffer.

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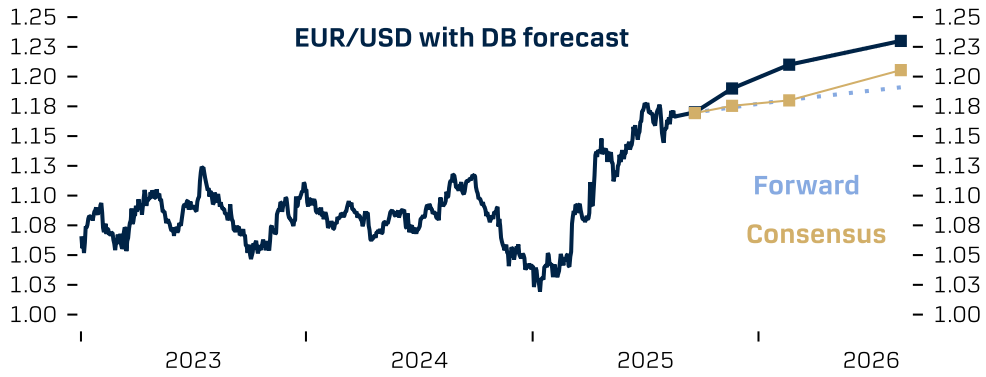
EUR/USD – upward trend remains intact

- **Cyclical outlook.** Recent US data show that growth momentum – and particularly the labour market – is cooling. While inflation remains above the Fed's 2% target, price pressures are relatively contained, with no material evidence yet of tariff-induced inflation. The July jobs report included significant downward revisions to the May and June figures, suggesting that the labour market has been less resilient than initially believed following "Liberation Day." July CPI came in broadly in line with expectations on both headline and core measures. We continue to expect prices to rise modestly and growth to cool through H2, though the risk of a more pronounced slowdown appears limited at this stage. In the euro area, the economy showed tentative signs of regaining momentum in July, with PMI data generally exceeding expectations. Q2 GDP growth surprised slightly to the upside at 0.1% q/q, underscoring that the region is performing better than anticipated. Inflation in the euro area was steady at 2.0% y/y in July, marginally above expectations. We expect inflation to pick up in August and September, likely exceeding the ECB's current projections.
- **Monetary policy.** The Fed left rates unchanged in July, as expected, but pressure to resume its cutting cycle is building amid signs of a cooling economy. We continue to forecast rate cuts in September and December, followed by three additional cuts in 2026. We believe recent euro area developments suggest the ECB has concluded its rate-cutting cycle for this year.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral from a historical perspective.

Forecast: 1.17 (1M), 1.19 (3M), 1.21 (6M), 1.23 (12M)



	1M	3M	6M	12M
Danske Bank	1.17	1.19	1.21	1.23
Consensus	1.17	1.18	1.18	1.21
Forward	1.17	1.17	1.18	1.19

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data and/or renewed euro area weakness that could prompt the ECB to cut again this year.
- **Conclusion.** Following the broad USD's strong performance in July, the tide has reversed so far in August amid mounting evidence of a slowing US economy. We remain USD bears both tactically and strategically, continuing to fade potential rallies. We still see EUR/USD on an upward trajectory, underpinned by relative rates, a recovering European asset market, and a reduced global need for contractionary policy. In addition, the gradual adjustment of hedge ratios on USD assets and diminished confidence in US institutions should continue to provide tailwinds for the cross.

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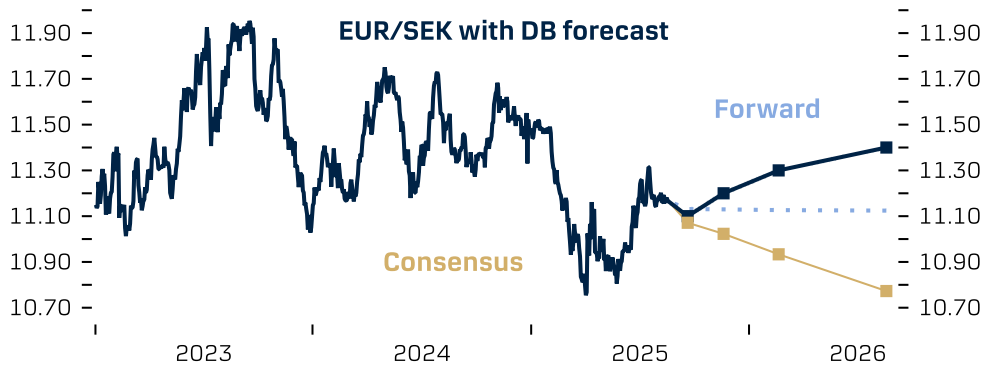
EUR/SEK – cyclical and structural headwinds for the SEK

- **Cyclical outlook.** Swedish growth data continues to disappoint and the Q1 contraction (-0.2%q/q) was followed by another negative -0.9%q/q surprise for the Q2 GDP indicator (national accounts due on 29 Aug). The labour market has deteriorated further while soft, forward-looking indicators suggest subdued growth also for the second half of 2025. The batch of negative surprises for the Swedish economy has weighed on the krona through the summer and the fading growth momentum suggests a headwind also for H2.
- **Monetary policy.** We expect that the Riksbank will keep rates unchanged at 2.0% at the August meeting while keeping the easing bias from June (50/50 for another cut this year). That said, they do need to address the higher-than-expected inflation outcomes (June, July) where CPIFxE runs above 3% and the weaker-than-expected activity data indicating technical recession. Although our base case is that the policy rate will not go below 2.0%, the risk is skewed to the downside. As such we consider it fair that the market discounts a decent chance for rate cut(s). In our view, relative monetary policy will not provide any persistent support to the SEK. Rather, we see the current environment as a negative for the krona, especially if the ECB is done.
- **Flows.** The Swedish savings-investment balance has generated net-buying of foreign equities over time. While these have long been fundamentally SEK negative (*here* and *here*), there were some evidence of a potential reversal of these flows in early 2025. Retail data showed an increase in the European and Swedish equity exposure at the expense of US equities during Q1. However, although the rotation out of the US continued in Q2, albeit at a slower pace before eventually stalling in June, we now have four consecutive months of outflows out of Swedish equities, in favour of European and global dittos (*RtM Sweden*, 15 Aug). Hence, these flows posit structural headwinds for the SEK.
- **Valuation**. Both our short-term (relative rates) and medium-term (relative macro) model-implied 'fair value' currently sits between 11.00 and 11.20.
- **Risks.** A global hard landing could push EUR/SEK above targets, while Swedish economic and asset outperformance would pull in the other direction.

Forecast: 11.10 (1M), 11.20 (3M), 11.30 (6M), 11.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.10	11.20	11.30	11.40
Consensus	11.07	11.02	10.93	10.77
Forward	11.13	11.13	11.13	11.12

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** After a prolonged early-summer rally EUR/SEK peaked at 11.33. The SEK recovery was limited though as the weak GDP fuelled a new SEK selloff. Since then, the cross has traded in a tight range of 11.12-11.22 while monetary policy-implied fair value at 11.15 has served as a short-term magnet. With respect to monetary policy, the Riksbank is caught between a rock and a hard place as inflation is too high for comfort at the same time as the economy has been weaker than expected. The combination of low growth and high inflation is a cyclical headwind for the SEK (see *RtM Sweden*, 15 Aug). Meanwhile, Swedish savings-investment balance continues to generate net-buying of foreign equities as shown in the recent retail fund flow data. This is a structural, and thus persistent SEK headwind. On balance, we stick to the long-held positively sloping profile for EUR/SEK, with the 12m target kept at 11.40.

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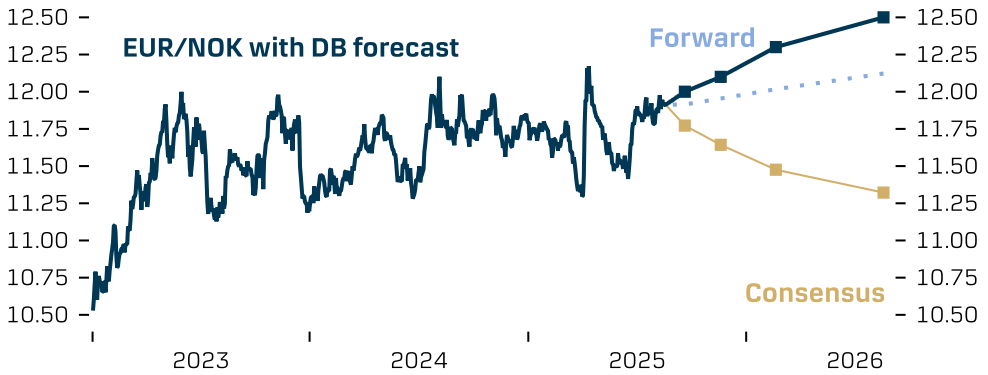
EUR/NOK – to move above the 12.00-figure

- **Cyclical outlook.** Economic indicators suggest that mainland growth remains below trend with the labour market showing further signs of weakness. The labour force survey (LFS) measure remains considerably weaker than the registered employment figures which we interpret as a sign that especially young people increasingly find it difficult to find employment. This could be a sign that further broad-based loosening of the labour market is in store which supports the case for more easing from Norges Bank (NB). This is especially the case if we are right that activity has levelled off after a strong Q1 and that the July inflation surprise was driven by temporary factors which in turn would imply that disinflationary forces remain in play.
- **Monetary policy.** At the June monetary policy meeting NB delivered its first 25bp rate cut in the cutting cycle. NB now guides towards two additional cuts this year and two cuts in 2026 with the key policy rate hitting the upper end of the estimated neutral range by next summer. At the August interim monetary policy meeting NB reiterated that message. On eventual policy changes we pencil in two additional rate cuts this year (Sep and Dec) and 3 rate cuts in 2026 bringing the sight deposit rate to 3.0% by end-2026. In our view relative rates will be a negative for NOK FX in the coming years.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a marginal net NOK buyer in its daily operations as the Ukraine-support package alongside the new FX reserve transactions have flipped NB's daily interests. Fundamentally, though, it does not change our NOK view.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be neutral.

Forecast: 12.00 (1M), 12.10 (3M), 12.30 (6M), 12.50 (12M)



	1M	3M	6M	12M
Danske Bank	12.00	12.10	12.30	12.50
Consensus	11.77	11.64	11.48	11.32
Forward	11.91	11.95	12.02	12.12

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks are closely connected to the global investment environment, Trump's announcements on tariffs, the risk of a US recession and any supply side developments that could impact energy prices (e.g. Iran/Israel conflict).
- **Conclusion.** While the near-term outlook largely remains a function of tariff- and geopolitical news we still believe the long-term fundamental backdrop for the cross is supportive of a higher spot. Not only do we see a case for a real-rate narrowing to peers in the coming years but we also highlight the structural NOK headwinds stemming from relative unit labour costs and the global investment environment. That leaves us with an upward sloping profile for the cross which we have lifted marginally in this month's forecast update.

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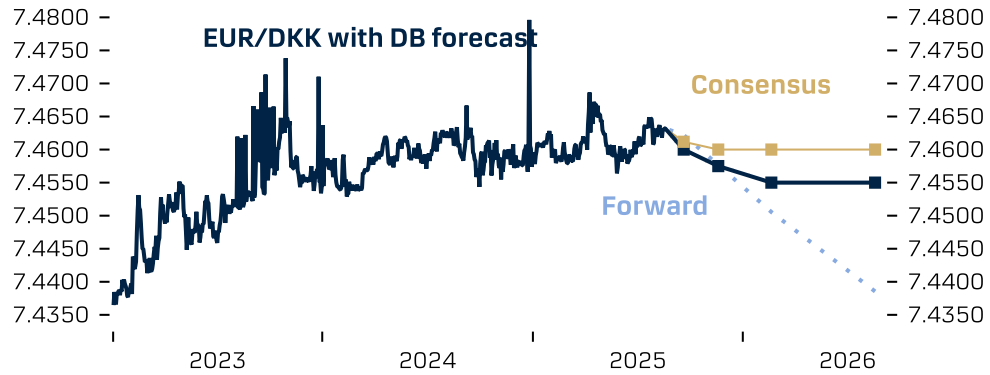
EUR/DKK – Carry is back

- **Cyclical outlook.** The cyclical environment has turned neutral-to-negative for EUR/DKK. Equity markets are recovering, which is negative for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** We now expect the ECB to keep its key policy rate steady at 2.00%, which means we look for Danmarks Nationalbank (DN) to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. EUR/DKK trades in the middle of the historic trading range, which suggests that the current interest rate spread is adequate. Hence, should the ECB cut interest rates again, we would expect DN to follow 1:1. Overall, we look for DN to keep EUR/DKK in the 7.43-7.47 range using FX intervention.
- **External balances.** Denmark continues to run a large current account surplus around 10% of GDP with pharmaceutical exports making a big contribution to the trade surplus. It looks unaffected by the trade war so far. The significant surplus, which materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve. Recently, the premium has declined on the back of tighter DKK liquidity conditions and a higher EUR/DKK spot.
- **Positioning.** Recent flow and hedging data from the Danish central bank showed that the domestic life and pension sector increased its USD hedge sharply this year. The ratio was 72-73% in April to June. The sector has maintained its EUR hedge ratio. If the sector increases hedge ratios further, it will weigh further on EUR/DKK.

Forecast: 7.4600 (1M), 7.4575 (3M), 7.4550 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4600	7.4575	7.4550	7.4550
Consensus	7.4612	7.4600	7.4600	7.4600
Forward	7.4622	7.4577	7.4506	7.4385

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. The fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light.
- **Conclusion.** We look for EUR/DKK to trade around 7.4600 level near-term as global risk sentiment is likely to stay fragile. We see potential for fundamentals and positioning to drag it further down towards 7.4550 level on 12M. Liquidity conditions, which have been very tight so far, started to ease over the summer with more to come the coming months, which pushed FX forwards down.

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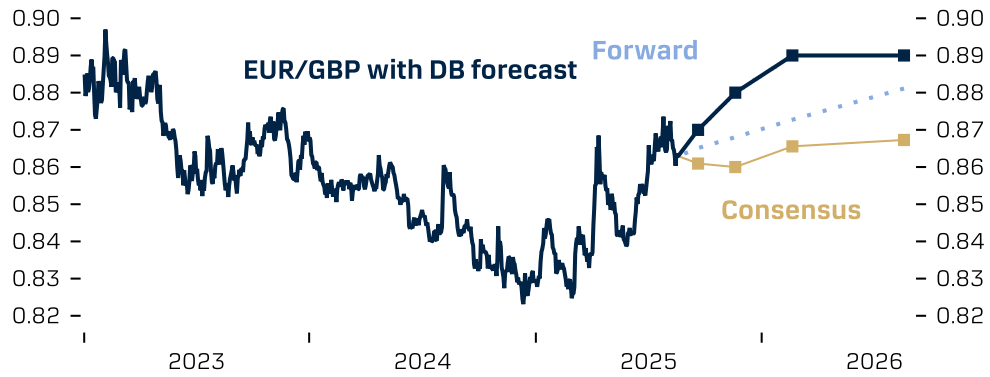
EUR/GBP – muted growth to provide headwinds for GBP

- **Cyclical outlook.** While growth has been performing better than expected the first half of the year, growing 0.7% q/q in Q1 and 0.3% q/q in Q2, the details highlight underlying weakness. The past quarter expansion was driven largely by government spending while business investment contracted, and private consumption remained weak at 0.1% q/q. We think fiscal tightening will act as an additional headwind. The labour market report for June/July showed that the labour market continues to loosen although at a slower pace than previously. The key concern for the Bank of England (BoE) is elevated inflation, where goods inflation has started to pick up in recent months while service inflation remains above 4%. Combined with a muted growth outlook and a weakening labour market, this leaves a tricky backdrop for the BoE.
- **Monetary policy**. The BoE cut the Bank Rate to 4.00% in August, in line with expectations. The vote split was more hawkish than expected with four members voting for an unchanged decision and inflation forecasts for inflation were revised significantly higher. The guidance included a hawkish twist although still signalling a "careful and gradual" cutting cycle. We continue to expect the BoE to deliver the next cut in the Bank Rate in November, expecting the Bank Rate to end the year at 3.75%. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83 and current levels are thus close to fair-value.
- **Positioning.** Non-commercial positioning is slightly long EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.86	0.86	0.87	0.87
Forward	0.87	0.87	0.87	0.88

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, EUR/GBP has been fairly rangebound trading around the 0.86 mark. We increasingly see domestic factors and the relative growth outlook between the UK and the euro area as becoming GBP negatives. This is further amplified by divergence in the fiscal policy outlook with UK fiscal policy set to be tightened in the Autumn. Additionally, we think a global investment environment characterised by elevated uncertainty, widening credit spreads and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6–12-month horizon.

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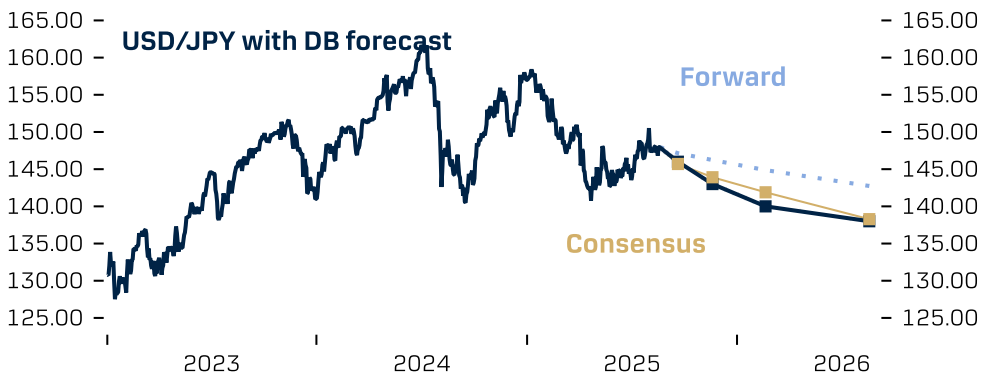
USD/JPY – downside bias with narrowing rate spreads in sight

- **Cyclical outlook.** The Japanese economy remains relatively resilient, with Q2 GDP growth stronger than expected at 0.3% q/q and 1.0% annualized. At the same time, Q1 GDP was revised from a small contraction to growth. Exports were particularly strong, likely supported by orders placed ahead of tariff deadlines, suggesting these gains are largely one-offs. That said, private spending also edged slightly higher despite headwinds from food inflation, and capex was solid. Political and trade uncertainty have generally receded, with public sentiment shifting toward keeping Prime Minister Ishiba in office and the US–Japan trade deal in place. We continue to expect domestic demand to firm in H2, underpinned by positive real wage growth. Until now, data has reflected the significant loss of purchasing power as food prices surged and spring wage hikes have yet to feed through.
- **Monetary policy.** The Bank of Japan (BoJ) kept the policy rate unchanged at 0.50% at its July meeting, in line with expectations. The BoJ continues to err on the side of caution, citing global uncertainty, but with the US–Japan trade deal in place and domestic political uncertainty receding, the focus is shifting back to data. If inflation proves stickier than anticipated, the BoJ risks falling behind the curve. We still expect another rate hike this year, with markets pricing roughly 20bp for the remainder of the year. For USD/JPY, however, we continue to emphasize that the Fed's cutting cycle will be the more dominant driver from a monetary policy perspective.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.

Forecast: 146 (1M), 143(3M), 140 (6M), 138 (12M)



	1M	3M	6M	12M
Danske Bank	146	143	140	138
Consensus	146	144	142	138
Forward	147	146	145	143

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay Fed cuts or reverse the US asset sell-off. An energy shock from geopolitical tensions could also pose upside risk.
- **Conclusion.** While the significant JPY strength seen in the first half of the year has partly reversed – despite long-end rate spreads between the US and Japan tightening – we expect the remainder of the year to be supportive for the JPY, with the Fed increasingly likely to resume its cutting cycle, even if the BoJ remains on hold. With global trade uncertainty receding for now, focus will shift back to economic data, and the tail risk of a faster-than-anticipated deterioration in the US economy could lead to significant downside in USD/JPY.

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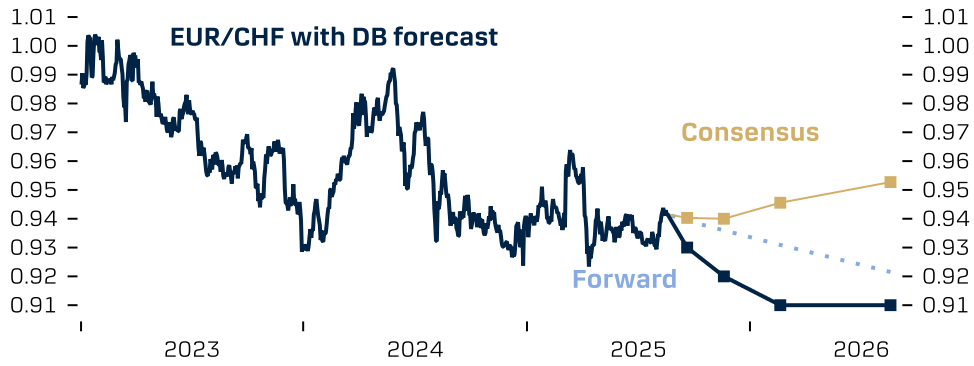
EUR/CHF

Forecast: 0.93 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The CHF has been under pressure the past month as the Swiss economy has been hit hard by the US trade policy decision putting a 39% tariff on Swiss exports to the US. EUR/CHF broke back above the 0.94 mark. We continue to be bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- As expected, the Swiss National Bank (SNB) cut policy rate to 0% in June, which we think marks the final cut this cycle. This view was further underscored by a slight tick-up in inflation the past months just above 0% y/y. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risk to this call is aggressive FX intervention from the SNB to weaken the CHF and US trade policy hitting Swiss growth substantially. Finally, a U-turn on the policy outlook in the US, which would trigger substantially lower policy uncertainty.

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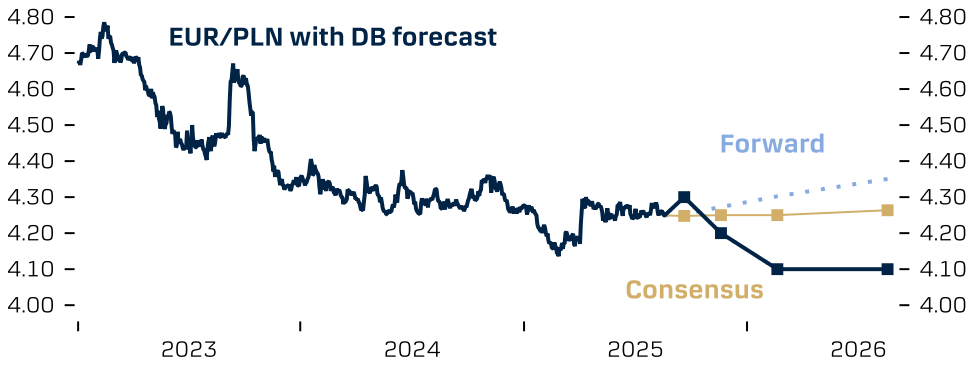
EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.10 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- With the NBP Board currently on summer leave, there have only been sparse comments since the surprise cut at the July meeting, at which Governor Glapinski also alluded to the possibility of another cut at the September meeting, which is also discounted by market pricing. The most recent inflation data (July) surprised somewhat to the upside and together with solid wage growth underscores that inflation risks are still alive. However, growth data has generally been slightly on the weaker side of expectations over recent months, keeping the door open for another cut as early as the September meeting.
- EUR/PLN continues to be anchored around 4.25, as has been the case since the start of Q2. However, as Polish equities keep outperforming European peers and rate spreads remain in favor of the Zloty, our short-term 'fair value' estimate has trended lower during summer and currently sits comfortably below 4.10. As such, we retain our downwards sloping trajectory for EUR/PLN, targeting 4.10 in 6-12m. However, in the short-term we expect the cross to keep within recent months' interval of 4.20 to 4.30.

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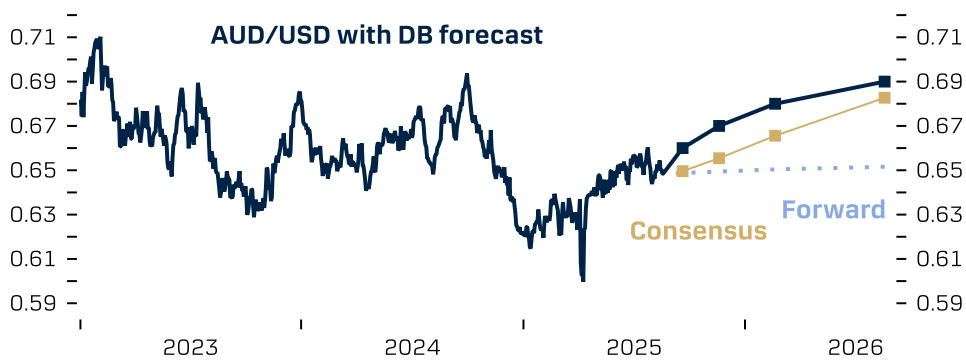
AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has remained steady throughout the summer. Australia received a tariff rate of only 10% from the US, which is among the lowest alongside the UK.
- The Reserve Bank of Australia (RBA) cut its policy rate by 25bp in August, as widely expected. RBA surprised the markets in July by halting the cutting cycle temporarily, but now rate cuts are set to continue towards the end of the year. Markets are pricing 2-3 more rate cuts which seems fair in our view.
- Australia's terms of trade have improved gradually over past months as prices of industrial metals have edged higher. However, growth momentum in Australia's key export market China has also weakened over the summer. Despite the mixed signals, we expect the structurally slowing growth in the US to push the cross higher towards next year, and we maintain our upward-sloping forecast profile unchanged.

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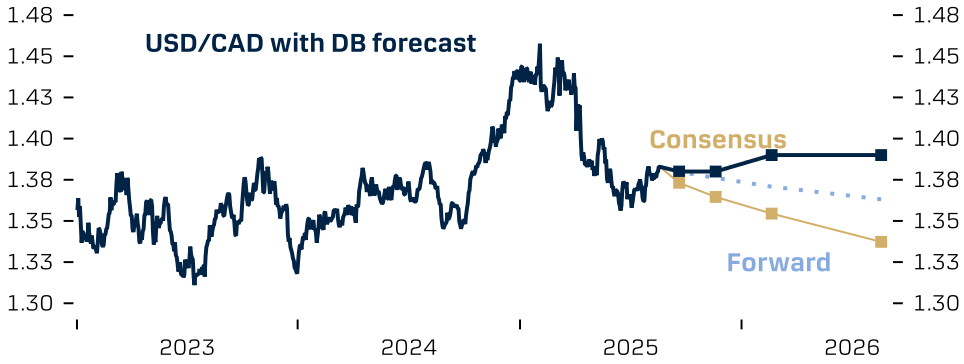
USD/CAD

Forecast: 1.38 (1M), 1.38 (3M), 1.39 (6M), 1.39 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- USD/CAD has been remarkably stable over the summer with spot caught within a +/- 1% range. Fundamentally, our negative long-term view on the USD also has negative implications for the trade weighted CAD with the Canadian currency in principle proving a higher oil-beta version of the USD – except with no reserve currency benefits. USD/CAD is thus in our view a slightly less volatile version of USD/NOK with long-term drivers weighing on the CAD. Going forward, the cross will thus largely be a derivative of the state of the US economy, how cyclically sensitive assets perform globally and relative monetary policy.
- As Bank of Canada (BoC) has front-loaded the easing cycle vis-à-vis the Federal Reserve the case for a sharp rise further in the cross has been diminished somewhat. That said, we continue to pencil in a higher USD/CAD in the years ahead and that both currencies will perform poorly vs the EUR. We factor in one additional rate cut from BoC in October – which is slightly more than current market pricing.

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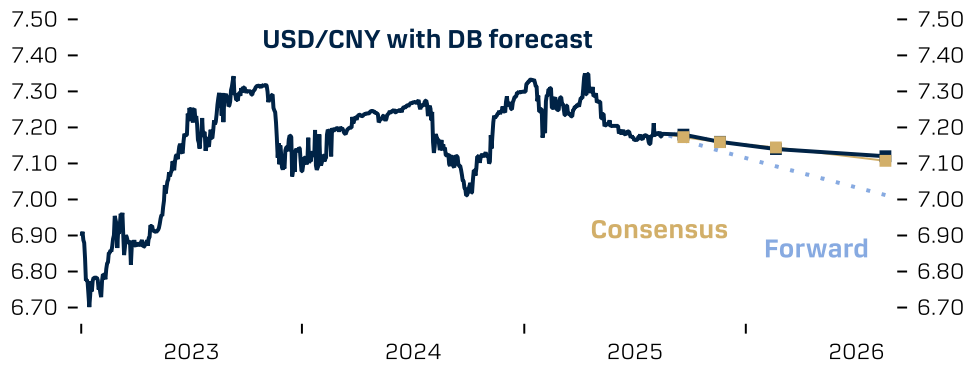
USD/CNY – gradual decline on broader USD weakness

- **CNY the past month.** USD/CNY again this month moved broadly sideways in a 7.16-7.20 range.
- **Growth outlook.** Economic data weakened going into the summer repeating a known pattern of two steps forward in the beginning of the year as stimulus is lifted and two steps back over the summer and into the autumn as stimulus effects fade again. Both housing and private consumption disappointed in recent months while exports are powering ahead despite trade war uncertainty and tariffs. We look for stimulus to be stepped up soon driving a lift in growth again towards the end of the year. GDP growth was 5.3% in the first half of 2025 but it is underpinned by past stimulus and hides over domestic demand weakness. We look for the current pattern to continue into next year and forecast 4.8% growth in 2026.
- **Monetary policy.** The People's Bank of China (PBOC) cut the policy rate by 10bp and reduced the Reserve Requirement Ratio for banks by 50bp on 6 May. We expect PBOC to be ease policy again in Q4 when the Fed is also expected to have resumed the easing cycle. Relative rates to the US are expected to go broadly sideways underpinning only limited direction in the USD/CNY cross.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively to keep the cross more stable. The fixing sets the middle of the +/-2% daily trading band. Recently the fixing has moved moderately lower signalling some willingness from PBOC to let CNY appreciate slowly. While the nominal trade weighted currency is broadly flat, the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is clearly negative as inbound FDI is weakening while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.) and increasingly invest in South-East Asia where tariff rates to the US are lower.

Forecast: 7.18 (1M), 7.16 (3M), 7.14 (6M), 7.12 (12M)



	1M	3M	6M	12M
Danske Bank	7.18	7.16	7.14	7.12
Consensus	7.17	7.16	7.14	7.11
Forward	7.16	7.13	7.09	7.01

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Valuation.** With a continuously rising trade surplus, the CNY looks increasingly undervalued in the long run. In the short term, though, it is broadly in line with the weak underlying economic situation.
- **Risks.** The uncertainty to the outlook is generally high due to the unpredictable Trump policies. Domestic risks have decreased somewhat as policy makers have shown a resolve to keep using stimulus to keep growth around the 5% target with fiscal policy being the preferred tool.
- **Conclusion.** We keep our forecast of a gradual decline on a 12M horizon towards 7.12 as we expect a broad dollar weakening to also spill into the USD/CNY cross. EUR/CNY continues to shadow EUR/USD, and we expect a rising trend in EUR/CNY in line with our forecast of more USD weakening in the medium term.

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Overview USD SEK NOK DKK GBP JPY CHF PLN AUD CAD CNY Oil Tables

Oil – price drops as OPEC+ hikes output and US hikes tariffs

- **Macro.** OPEC+ announced another big output hike for September – the sixth in a row and likely the final hike this time around. The swift rise in OPEC+ production has added to global oil supply. The cartel has room to hike output further and will likely do so in the coming years.

  Saudi Arabia sharply increased its oil output in June, which likely explains why oil prices did not increase more than they did following the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit.

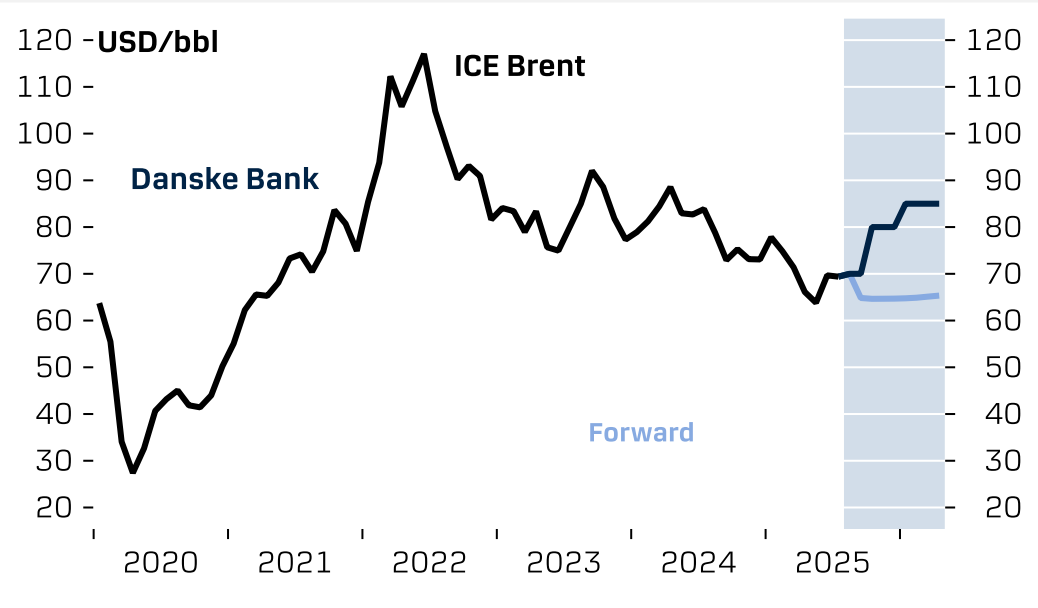
  Tensions between Israel and Iran have eased and with that, concerns in the oil market over potential disruptions to global oil supply, e.g. should Israel target Iran's key oil terminal or Iran force a closing of the Strait of Hormuz.

  Geopolitics is not the only thing that matters for the oil market. The market awaits the impact of US tariff hikes on global trade and oil demand, which would further weigh on oil prices.

- **Risks.** The risks to our oil price forecast are high – particularly in the short-term, where the outcome space for the conflict in the Middle East and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions.

- **Conclusion.** We look for Brent to average USD70/bbl in Q3, USD80/bbl in Q4 and further USD85/bbl next year. We have revised down our forecasts reflecting recent drop in oil prices, further OPEC+ output increase and latest round of tariff hikes.

Forecast: 70 (Q3), 80 (Q4), 85 (2026)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.17	1.17	1.19	1.21	1.23
EUR/JPY	172	171	170	169	170
EUR/GBP	0.86	0.87	0.88	0.89	0.89
EUR/CHF	0.94	0.93	0.92	0.91	0.91
EUR/SEK	11.13	11.10	11.20	11.30	11.40
EUR/NOK	11.90	12.00	12.10	12.30	12.50
EUR/DKK	7.4643	7.4600	7.4575	7.4550	7.4550
EUR/AUD	1.80	1.77	1.78	1.78	1.78
EUR/NZD	1.97	1.92	1.92	1.92	1.92
EUR/CAD	1.61	1.61	1.64	1.68	1.71
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.24	4.30	4.20	4.10	4.10
EUR/HUF	394	400	410	420	430
EUR/CZK	24.5	24.5	24.5	24.4	24.4
EUR/TRY	47.8	48.6	50.8	54.0	59.3
EUR/ZAR	20.6	20.6	20.8	21.0	21.1
EUR/CNY	8.38	8.40	8.52	8.64	8.76
EUR/INR	101.6	101.8	104.1	106.5	109.5

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	6.39	6.38	6.27	6.16	6.06
JPY/DKK	4.33	4.37	4.38	4.40	4.39
GBP/DKK	8.65	8.57	8.47	8.38	8.38
CHF/DKK	7.93	8.02	8.11	8.19	8.19
SEK/DKK	0.67	0.67	0.67	0.66	0.65
NOK/DKK	0.63	0.62	0.62	0.61	0.60
EUR/DKK	7.4643	7.4600	7.4575	7.4550	7.4550
AUD/DKK	4.15	4.21	4.20	4.19	4.18
NZD/DKK	3.79	3.89	3.89	3.88	3.88
CAD/DKK	4.63	4.62	4.54	4.43	4.36
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	1.76	1.73	1.78	1.82	1.82
HUF/DKK	0.19	0.19	0.18	0.18	0.17
CZK/DKK	0.31	0.30	0.30	0.31	0.31
TRY/DKK	0.16	0.15	0.15	0.14	0.13
ZAR/DKK	0.36	0.36	0.36	0.35	0.35
CNY/DKK	0.89	0.89	0.88	0.86	0.85
INR/DKK	0.074	0.073	0.072	0.070	0.068

Source: Danske Bank

Danske Bank FX forecasts vs SEK

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.54	9.49	9.41	9.34	9.27
JPY/SEK	6.46	6.50	6.58	6.67	6.72
GBP/SEK	12.89	12.76	12.73	12.70	12.81
CHF/SEK	11.83	11.94	12.17	12.42	12.53
EUR/SEK	11.13	11.10	11.20	11.30	11.40
NOK/SEK	0.94	0.93	0.93	0.92	0.91
DKK/SEK	1.49	1.49	1.50	1.52	1.53
AUD/SEK	6.19	6.26	6.31	6.35	6.40
NZD/SEK	5.65	5.79	5.84	5.88	5.93
CAD/SEK	6.90	6.87	6.82	6.72	6.67
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.63	2.58	2.67	2.76	2.78
HUF/SEK	2.83	2.78	2.73	2.69	2.65
CZK/SEK	0.46	0.45	0.46	0.46	0.47
TRY/SEK	0.23	0.23	0.22	0.21	0.19
ZAR/SEK	0.54	0.54	0.54	0.54	0.54
CNY/SEK	1.328	1.321	1.314	1.308	1.302
INR/SEK	0.110	0.109	0.108	0.106	0.104

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.19	10.26	10.17	10.17	10.16
JPY/NOK	6.90	7.02	7.11	7.26	7.36
GBP/NOK	13.78	13.79	13.75	13.82	14.04
CHF/NOK	12.64	12.90	13.15	13.52	13.74
SEK/NOK	1.07	1.08	1.08	1.09	1.10
EUR/NOK	11.90	12.00	12.10	12.30	12.50
DKK/NOK	1.59	1.61	1.62	1.65	1.68
AUD/NOK	6.61	6.77	6.81	6.91	7.01
NZD/NOK	6.03	6.26	6.30	6.40	6.50
CAD/NOK	7.38	7.43	7.37	7.31	7.31
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.81	2.79	2.88	3.00	3.05
HUF/NOK	3.02	3.00	2.95	2.93	2.91
CZK/NOK	0.49	0.49	0.49	0.50	0.51
TRY/NOK	0.25	0.25	0.24	0.23	0.21
ZAR/NOK	0.58	0.58	0.58	0.58	0.59
CNY/NOK	1.42	1.43	1.42	1.42	1.43
INR/NOK	0.12	0.12	0.12	0.12	0.11

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.17	1.17	1.19	1.21	1.23
USD/JPY	148	146	143	140	138
GBP/USD	1.35	1.34	1.35	1.36	1.38
USD/CHF	0.81	0.79	0.77	0.75	0.74
USD/SEK	9.54	9.49	9.41	9.34	9.27
USD/NOK	10.19	10.26	10.17	10.17	10.16
USD/DKK	6.39	6.38	6.27	6.16	6.06
AUD/USD	0.65	0.66	0.67	0.68	0.69
NZD/USD	0.59	0.61	0.62	0.63	0.64
USD/CAD	1.38	1.38	1.38	1.39	1.39
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.63	3.68	3.53	3.39	3.33
USD/HUF	337	336	345	347	350
USD/CZK	20.96	20.94	20.59	20.17	19.84
USD/TRY	40.89	41.50	42.70	44.60	48.20
USD/ZAR	17.63	17.60	17.50	17.39	17.19
USD/CNY	7.18	7.18	7.16	7.14	7.12
USD/INR	87.01	87.00	87.50	88.00	89.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	19/08/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.35	1.34	1.35	1.36	1.38
GBP/JPY	200	196	193	190	191
EUR/GBP	0.86	0.87	0.88	0.89	0.89
GBP/CHF	1.09	1.07	1.05	1.02	1.02
GBP/SEK	12.89	12.76	12.73	12.70	12.81
GBP/NOK	13.78	13.79	13.75	13.82	14.04
GBP/DKK	8.65	8.57	8.47	8.38	8.38
GBP/AUD	2.08	2.04	2.02	2.00	2.00
GBP/NZD	2.28	2.20	2.18	2.16	2.16
GBP/CAD	1.87	1.86	1.87	1.89	1.92
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.91	4.94	4.77	4.61	4.61
GBP/HUF	456	460	466	472	483
GBP/CZK	28.33	28.16	27.84	27.42	27.42
GBP/TRY	55.32	55.81	57.74	60.64	66.61
GBP/ZAR	23.84	23.67	23.66	23.64	23.76
GBP/CNY	9.71	9.66	9.68	9.71	9.84
GBP/INR	117.63	117.00	118.32	119.64	123.00

Source: Danske Bank

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